Sample CFA notes

Time value of money

Money today is worth more than the same amount later, because it can earn a return.

Future value

```
FV = PV x (1 + r)^n
```

PV is the amount today, r the rate per period and n the number of periods.

Present value

```
PV = FV / (1 + r)^n
```

Discounting is compounding run backwards.

Worked example

Rs 10,000 invested at 8% a year for 3 years grows to about Rs 12,597.

Sample CFA notes

Return measures

Holding period return

HPR = (P1 - P0 + D1) / P0

P0 is the starting price, P1 the ending price and D1 any income received.

Arithmetic and geometric mean

The arithmetic mean averages returns; the geometric mean compounds them.

Over several periods the geometric mean is never above the arithmetic mean.

Money- and time-weighted returns

Time-weighted return removes the effect of cash flows in and out of a portfolio.

Sample CFA notes

Ethics: the six standards

I Professionalism

II Integrity of capital markets

III Duties to clients

IV Duties to employers

V Investment analysis, recommendations and actions

VI Conflicts of interest

How to study them

Read each standard with its examples, then try the practice questions.